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# Global Industrial Technology & Mobility

## Data Center Expert Call Takeaways

**CITI'S TAKE**

We hosted a call with Robert Babcock of Verdant Microgrid on 10/8. Overall, the call was bullish on BTM power—Mr. Babcock expects the majority of new data centers being built in coming years to go BTM. He did note that data center design is constantly changing, with no clear 'one-size-fits-all' strategy, although his preferred power architecture would be using nat gas recip engines for BTM power. He also suggested that in this BTM architecture, there would likely be less diesel backup redundancy, similar to what we've heard from other calls we've hosted this year. Mr. Babcock also cited that used power generation equipment is currently selling at a premium to new equipment, underscoring the robust demand>supply backdrop. Overall, we thought the call was bullish for our data-center-exposed companies, and for those supplying nat gas recips for BTM power in particular (CAT & INIO).

**BTM Adoption Curve —** Mr. Babcock is of the opinion that most, if not all, data centers built in 2027 will have BTM power, characterizing the shift as an "inevitable and unstoppable trend", driven by surging power needs and community pushback to data centers connecting to the grid. Mr. Babcock also introduced the notion that properly designed BTM assets are already at similar cost to the grid in most US markets, which stood out but does not align with what we've heard from others in the industry. Mr. Babcock does not necessarily view BTM as temporary "bridge" power and instead thinks assets could remain the prime power source for a site indefinitely. That said, our conversations with industry participants have suggested that customers still would prefer grid connection, or at minimum have a path to getting grid connection in the future.

**Product Trends —** Mr. Babcock expects engines and turbines to remain the primary technologies supporting the bulk of BTM power deployment, while alternative solutions (fuel cells) have advantages but have relative challenges around lifecycle costs and manufacturing capacity, in his view. As it relates to the design of data centers, Mr. Babcock is of the opinion that smaller gensets are a better solution versus larger equipment. While diesel still certainly has a large role to play in the backup market and is the preferred solution for some operators, Mr. Babcock was a bit more conservative than what we had heard previously (here) regarding his expectations for backup redundancy data center operators might be looking for broadly. Mr. Babcock expects BESS to become a larger part of the equation as data centers focus on managing load variability. His comments on switchgear being another major bottleneck stood out and were generally bullish for electrical names.

**Pricing —** Mr. Babcock cited that all generation technologies are going up in price on continued demand>supply and seems to think that price inelasticity in the current environment is quite extreme. That said, Mr. Babcock's view is that pricing for diesel backup genset should remain positive but likely on a more moderate trajectory vs equipment used for prime power (nat gas recips, turbines, aero derivatives, etc.).

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**Machinery Takeaways –** The call overall reinforced our constructive view on machinery exposure to the data center build-out. We came away most incrementally positive on CAT in particular given its exposure to the BTM market, which sounds like it will likely still have healthy legs under it in 2028+ (when CMI expects to launch its natural gas engine). We continue to view CAT as very well positioned to benefit from the trend toward BTM and trend toward using smaller generation equipment such as CAT's nat gas recips. Mr. Babcock suggested that the proliferation of behind-the-meter gas generation could reduce the need for diesel backup, which is something we think has become a larger concern around the investment community, although Mr. Babcock thinks that operators could still want at least ~30% diesel backup onsite. Comparing Mr. Babcock's commentary on the backup power space with our prior data center expert call (here), it is becoming clearer to us that the opportunity for diesel backup can be quite different on a case-by-case basis – Mr. Babcock suggested that tier 4 data centers likely still want full diesel backup while tier 3 operators might be able to get away with "a little bit less" redundancy. The conversation around the role batteries will play in the BTM market was positive for CMI's BESS opportunity (here). Lastly, Mr. Babcock's view that switchgear is becoming an increasing bottleneck underscores RRX's opportunity to continue executing on its switchgear/E-Pod opportunity funnel, in our view.

**US Multi/E&C Takeaways -**Following the call with Mr. Babcock on data center power, our main takeaways are that demand for power-related infrastructure and equipment remain robust, with growing adoption of BTM generation helping to address constraints in grid availability. While Mr. Babcock highlighted air permit challenges, water constraints, and public pushback as driving a growing number of data center cancelations (~$260bn in 2026 as of October 6th, according to Heatmap), he emphasized that underlying demand continues to support significant investment in data center construction/power capacity (in-line with commentary we heard at Yotta 2026).

The discussion reinforced our view that the BTM power ecosystem is becoming increasingly complex, supporting demand for engineering, electrical infrastructure, and power-management solutions (+ve PWR and MTZ). Mr. Babcock described a tight supply-demand environment across power equipment markets that continues to support pricing power across our coverage (+ve ETN, VRT, NVT and neutral-rated GEV, INIO), giving anecdotal commentary that certain used generation assets are now transacting at high premiums to new equipment due to immediate availability. He also suggested that next-generation BTM deployments will favor distributed architectures, utilizing a larger number of smaller engines paired with battery energy storage systems (BESS), reflecting a growing focus on resiliency, redundancy, and power quality as AI workloads become more dynamic (+ve ETN, VRT and Neutral-rated GEV, INIO). Additionally, switchgear continues to be a key bottleneck, with lead times reportedly extending from roughly 24 weeks to 80 weeks, which we view as a positive read-through for our electrical equipment suppliers (ETN, VRT, NVT, and neutral-rated GEV). The discussion also suggested a broader global expansion of BTM adoption as operators seek to accelerate deployment timelines and improve power availability.

**US Renewables Takeaways -** The call was overall constructive on both BESS and fuel cell demand.

- **Fuel Cells** – Consistent with Mr. Babcock's views, we believe fuel cells will play a much larger role in BTM power due to speed to power, ease of

permitting and high uptime (no single point failure as in large turbines). Mr. Babcock echoed these views and highlighted the importance of fuel cells particularly because they offer high efficiency, minimal local air emissions (virtually no NOx, SOx, or particulate matter), and benefit from investment tax credits that improve project economics. We would add that fuel cells reduce the need for back up, and provide power at 800V, which is relevant for the new DC architecture. However, as Mr. Babcock indicated, fuel cells remain at a cost disadvantage versus gas engines and turbines, especially when considering lifecycle costs such as periodic stack replacements. We had highlighted the higher cost in our previous note (see: BE: Strong Execution Continues). Since then, we believe Bloom has worked to reduce cost through scale and through lifetime extensions. While the recent surge in engine and turbine pricing has narrowed the economic gap as well as increased the willingness to pay a premium for quicker delivery of power, investors believe conventional generation technologies will likely regain their cost advantage and lower the lead time to power as manufacturers expand production and supply constraints ease. Finally, we believe BE and FCEL can increase capacity faster than the market anticipates. We had recently highlighted BE is in the midst of a rapid capacity expansion (see: BE: Still Room to Run; Raising Estimates) and finally got a confirmation of this capacity expansion with BE leasing more land in California that could allow the company to double its manufacturing capacity.

- **BESS** - Mr. Babcock highlighted our view that battery energy storage systems are becoming a foundational component of future behind-the-meter (BTM) data center power architectures, primarily serving as a power-quality and resiliency solution rather than a source of long-duration backup. As AI-driven data centers experience rapid, sub-second load fluctuations that neither gas engines nor turbines can reliably follow, batteries act as a buffer by absorbing spikes and smoothing demand, allowing generation assets to operate against a steadier load profile and reducing equipment stress and failure risk. Mr. Babcock highlighted that BTM deployments underestimated the importance of power conditioning and load management, making batteries increasingly critical to system design. Mr. Babcock highlighted that approximately one hour of battery storage is sufficient to capture most of the operational and economic benefits, with limited incremental value from longer-duration storage. This is consistent with FLNC commentary around data center demand being less than 2 hours of duration. Strong data center demand combined with the need for storage given increased penetration of intermittent energy sources should drive robust demand for BESS. We continue to project BESS growth of ~30% in the US through the end of the decade. The primary beneficiaries of this growth are FLNC, NXT and CSIQ.

**Implications for EU Industrials –** The takeaways from the call were constructive for our conventional power generation names, Siemens Energy and Wartsila. Consistent with industry messaging, the trend towards onsite power generation is likely to remain durable over the medium-term. Near-term demand trends remain strong, with this being reflected not only in order volumes but also lengthening lead times and pricing for both names. We have already seen growing backlogs and backlog margins at both OEMs, though the shift has been even more notable at Siemens Energy, underpinning margin expansion that is already visible in consensus expectations. Mr Babcock's emphasis on solutions with built-in redundancy through using multiple units means that we continue to expect healthy demand for smaller units such as engines and aeroderivative/industrial turbines.

One comment of particular interest was the view that behind-the-meter power generation units are likely to remain prime power sources for datacentres going forward owing to their cost advantages versus grid power. Part of the debate on the power generation space has been the slow development of service orders relative to new equipment orders. Should this scenario play out, this would support an eventual pick-up in service order intake, underpinning the service earnings growth story going into the 2030s.

**Implications for US Power and Utilities –** Our main takeaway was that the US utilities and power solution providers are looking more at the aeroderivative market more recently which has pushed up those prices ~50-60% from pre-AI time periods. We may see utilities (beyond TVA) look more seriously at that technology in upcoming resource planning decisions. Secondly, we may see some of the gas turbines in the supply chain not be used as power developers are talking more risky around lower quality equipment given the current scarcity dynamics. The use of less tested supply markets add new risks to power generation story.

**Asia Utilities Takeaways -** At the call, the speaker mentioned that the lead time for switchgears essential for data centers has been lengthened from 20-30 weeks to 80 weeks. This tightened equipment supply should be positive to equipment suppliers. We have Buy ratings on such Korean and Chinese switchgear suppliers as LS Electric (010120 KS), Hyosung Heavy (298040 KS), Hyundai Electric (267260 KS) and Sieyuan Electric (002028 CH).

**US Communications Infrastructure -** Discussion during the call centered on themes that are increasingly surfacing in our conversations with both operators and investors, particularly around behind-the-meter (BTM) power strategies and evolving genset architectures. On BTM, our view remains that the preferred long-term outcome for most hyperscalers and data center operators is access to front-of-the-meter power, or at minimum a clearly defined pathway back to grid power. While very few operators appear to view BTM as the ideal end-state solution (in our view), it is increasingly being utilized as a bridge strategy to accelerate deployments in constrained markets. We are also hearing more discussion around portable nuclear and SMR technologies, though these solutions still appear several years away from meaningful commercial deployment.

**The key takeaways for petrochem riverbarge operator Kirby (KEX), railcar leasing company GATX (GATX), and locomotive manufacturer Wabtec (WAB)** are that data centers are focusing on behind-the-meter natgas turbines for prime power, with an estimated 100GW of need, and the expectation that most data centers built going forward will be powered by behind-the-meter as the public is against grid use. The sharp incline in price per power gen is also of note, given demand far outstripping supply driving used power gen equipment selling at a premium to new, with a used priced at $3-4mil./MW because it is available now vs. a new at $1-2mil./MW with delivery pushed out in years. The view is that diesel backup generators are still required and estimated to be 30% of the power per data center, with the 70% balance coming from natgas turbine behind-the-meter prime. We see a super-cycle in power demand that could likely last a decade, with the expectation that power gen pricing continues on its incline.

- **Strong positive impact on petrochem riverbarge operator Kirby (KEX):** The focus in 3Q has been OEM engine deliveries and we expect KEX to have been seeing them come in and ramp up through the quarter, roughly in line with the guidance of +10-15% y-y Power Gen rev., with the expectation that OEM engine deliveries will continue to ramp through 4Q and into '27. A chief concern is whether there may be unexpected delays in

OEM engine deliveries going forward as the OEMs continue to face overwhelming demand. While they have announced capacity expansions, in our experience, capital projects often take longer than expected. Bottom line, Kirby's access to engines will be proportionate to when its diesel/natgas recip engine OEMs CAT/Rolls Royce MTU could expand capacity, with a key headwind being possible delays on their capacity expansion projects. Kirby's turbine deliveries are still on track for 1H27. However, its OEM Kawasaki currently has its own supply chain challenges on geopolitical issues between China and Japan. The Japan Prime Minister recently commented on Taiwan that drove Chinese trade sanctions on Japan. Parts of the Kawasaki turbine supply chain are from China. As such, beyond the anticipated Kawasaki turbine deliveries in 1H27, which should not be at risk of delay, we expect KEX's outlook on additional Kawasaki turbine deliveries in 2H27 and beyond to be less certain until there is more clarity in the Kawasaki's China-to-Japan supply chain.

- **Moderate positive impact on railcar leasing company GATX (GATX):** Certain investors see a longer-term positive catalyst for GATX as data centers ramp on usage of natural gas for power (to drive behind-the-meter natgas turbines, over the existing electric grid and diesel), which could drive greater demand for GATX's tank cars. We note this story has potential given data centers require continuous, 24/7, power and the existing grid cannot build transmission fast enough, with utilities building new gas-fired power plants and recent studies indicating massive domestic gas demand growth. More and more data centers are relying on on-site generation to bypass grid delays, with a focus on natural gas turbines to help offset anticipated multi-gigawatt power deficits, given on-site gas offering faster deployment than grid updates. Natural gas continues to replace diesel for primary power scaling, as diesel is relegated to short-term emergency backup generators because diesel is too expensive for continuous 24/7 base operations and environmental rules limit prolonged commercial diesel generation. (See 1. The future of data centers | Brookings (Brookings Institute, November 5, 2025), 2. Clean Energy Resources to Meet Data Center Electricity Demand | Department of Energy (Department of Energy, January 14, 2025), 3. Data centers' AI boom spurs new natural gas power plans in the US Southeast | S&P Global (S&P Global, August 7, 2026), 4. US building twice as much gas-fired capacity as China in AI boom, analysis finds | Fossil fuels | The Guardian (The Guardian, August 26, 2026), 5. How AI Data Centers Are Bad for Environment: What New Construction Means for Communities - Newsweek (Newsweek, September 29, 2026), 6. The Coming AI Blackout: $10 Trillion Data Center Surge Threatens to Break the Grid (yahoo!finance, September 29, 2026).)

- **Very slight positive impact on locomotive manufacturer Wabtec (WAB):** *Pricing and suitability obstacles:* WAB's engines are very expensive and likely cost-prohibitive for data centers. Its engines are very heavy to help with traction in locomotives. They likely are not suitable for datacenter backup power because they are medium-speed and potentially too slow for datacenter purposes. *Outlook and risks on investing into datacenter opportunity:* We estimate the time and cost to develop a new engine for datacenters to be ~3-5 years and ~$100+ million. We anticipate WAB would prefer not to take the risk of chasing the datacenter opportunity, especially against formidable rivals that have already invested much more, with an earlier start in selling engines to datacenters. We expect WAB would prefer to deploy capital to grow share in the global locomotive,

railcar, and mining equipment businesses, which have long-term growth potential with far lower a risk of a potential bubble. *Heat exchangers a very small part of total revenue:* WAB sells heat exchangers to power generator OEMs, who then sell to data centers. While heat exchangers (all, not just datacenter-related) revenue growth is +15-20% y-y for WAB, it represents only 1.5% total revenue. Of Freight Components segment revenue, ~60% represents railcars while ~40% represents industrial, i.e., maintenance-of-way systems, radiators for the mining industry, turbos, and heat exchangers.

**Companies Mentioned:**

Bloom Energy Corp (BE.N; US$280.5; 2H; 09 Oct 26; 16:00) | Canadian Solar (CSIQ.O; US$11.02; 2H; 08 Oct 26; 16:00) | Caterpillar Inc (CAT.N; US$800.47; 1; 09 Oct 26; 16:00) | Cummins Inc (CMI.N; US$523.39; 1; 09 Oct 26; 16:00) | Eaton Corp (ETN.N; US$429.65; 1; 09 Oct 26; 16:00) | Fluence Energy Inc (FLNC.O; US$7.45; 1H; 08 Oct 26; 16:00) | Fuelcell Energy Inc (FCEL.O; US$18.03; 2H; 09 Oct 26; 16:00) | GATX (GATX.N; US$164.78; 1; 09 Oct 26; 16:00) | GE Vernova Inc (GEV.N; US$999.35; 2; 08 Oct 26; 16:00) | HD Hyundai Electric (267260.KS; W606000.0; 1; 08 Oct 26; 15:45) | Hyosung Heavy Industries (298040.KS; W2494000.0; 1; 08 Oct 26; 15:45) | INNIO Group (INIO.O; US$19.2; 2; 08 Oct 26; 16:00) | Kawasaki Heavy Industries (7012.T; ¥2278.0; 1; 09 Oct 26; 15:30) | Kirby (KEX.N; US$136.25; 1; 09 Oct 26; 16:00) | LS Electric (010120.KS; W195500.0; 1; 08 Oct 26; 15:45) | MasTec (MTZ.N; US$212.65; 1; 09 Oct 26; 16:00) | MTU Aero Engines (MTXGn.DE; €348.9; 1; 09 Oct 26; 17:30) | Nextpower Inc (NXT.N; US$85.31; 1; 08 Oct 26; 16:00) | nVent (NVT.N; US$167.43; 1; 09 Oct 26; 16:00) | Quanta Services (PWR.N; US$705.94; 1; 09 Oct 26; 16:00) | Regal Rexnord (RRX.N; US$165.03; 1; 09 Oct 26; 16:00) | Rolls Royce (RR.L; £13.85; 2; 09 Oct 26; 16:30) | Siemens (SIEGn.DE; €272.1; 1; 09 Oct 26; 17:30) | Sieyuan Electric (002028.SZ; Rmb120.09; 1; 09 Oct 26; 15:00) | Vertiv Holdings Co (VRT.N; US$242.78; 1; 09 Oct 26; 16:00) | Wabtec (WAB.N; US$285.43; 1; 09 Oct 26; 16:00) | Wartsila (WRT1V.HE; €29.36; 3; 09 Oct 26; 18:30)

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